

Public companies and limited liability



A public company or corporation is one that issues shares that can be freely traded on the stock market, and benefits from what is known as limited liability. If such a company goes bankrupt, its creditors will seek to recover what they are owed by the company, but the individual owners of the firm cannot be held personally liable for the losses: they may well lose whatever they invested in the company, but creditors have no claim on their personal wealth. This is possible because, in law, corporations are treated as 'legal persons', with rights and obligations distinct from their shareholders.

Suppose you held a few shares in the bankrupt company, but had little knowledge of how it was being run. Limited liability enshrines the principle that you shouldn't lose your house because of mistakes that may have been made that led to the company's demise. This lowers the risks of making investments

in firms about which one may have little knowledge, and so helps expand financing opportunities for companies.